ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 07 - ONE SHOT ONE KILL MODEL

Welcome to Lesson 8: One Shot One Kill Trading Model for the short-term trading module in ICT Mentorship. This lesson concludes March's content.

PREREQUISITES FOR ONE SHOT ONE KILL SETUPS

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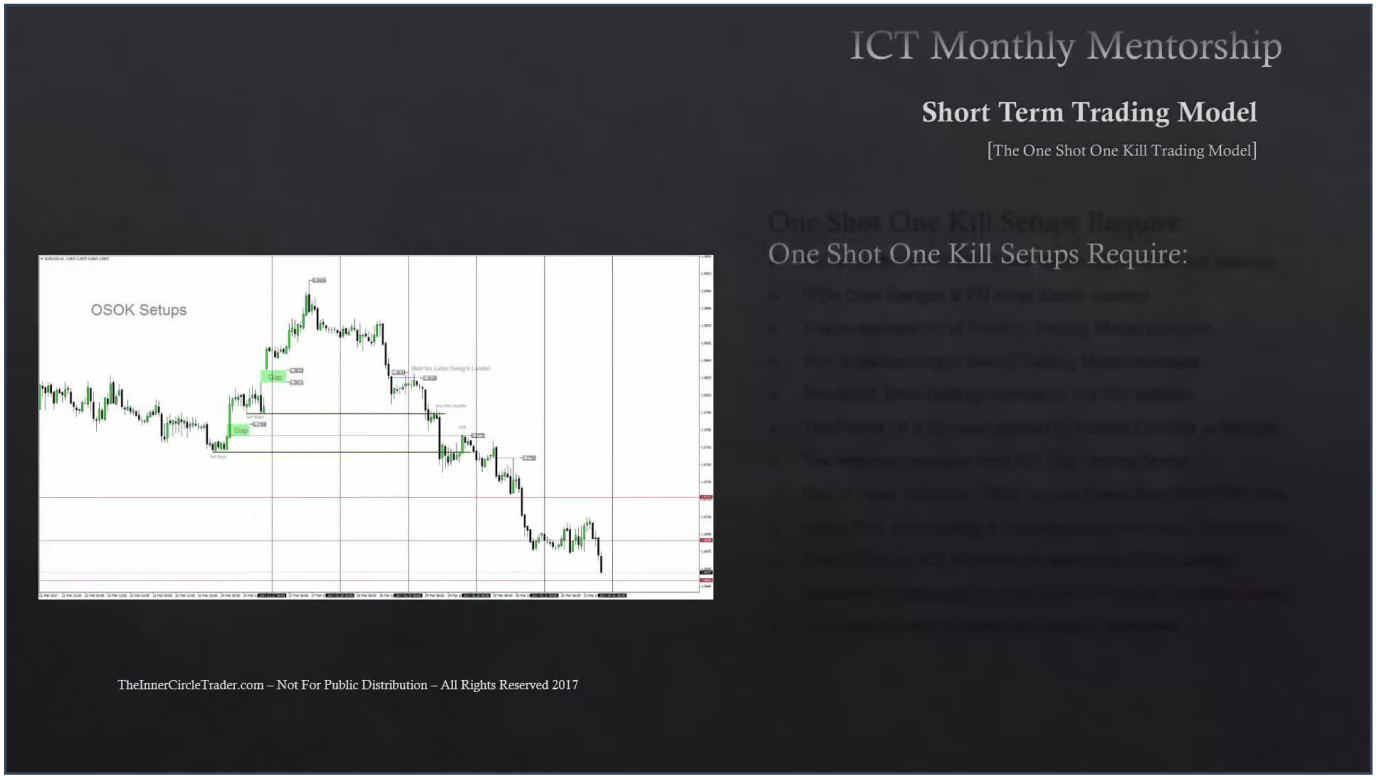


To efficiently and successfully execute One Shot One Kill setups, you must be proficient with several core concepts:

- Knowledge of all macro conditions and January content lessons.

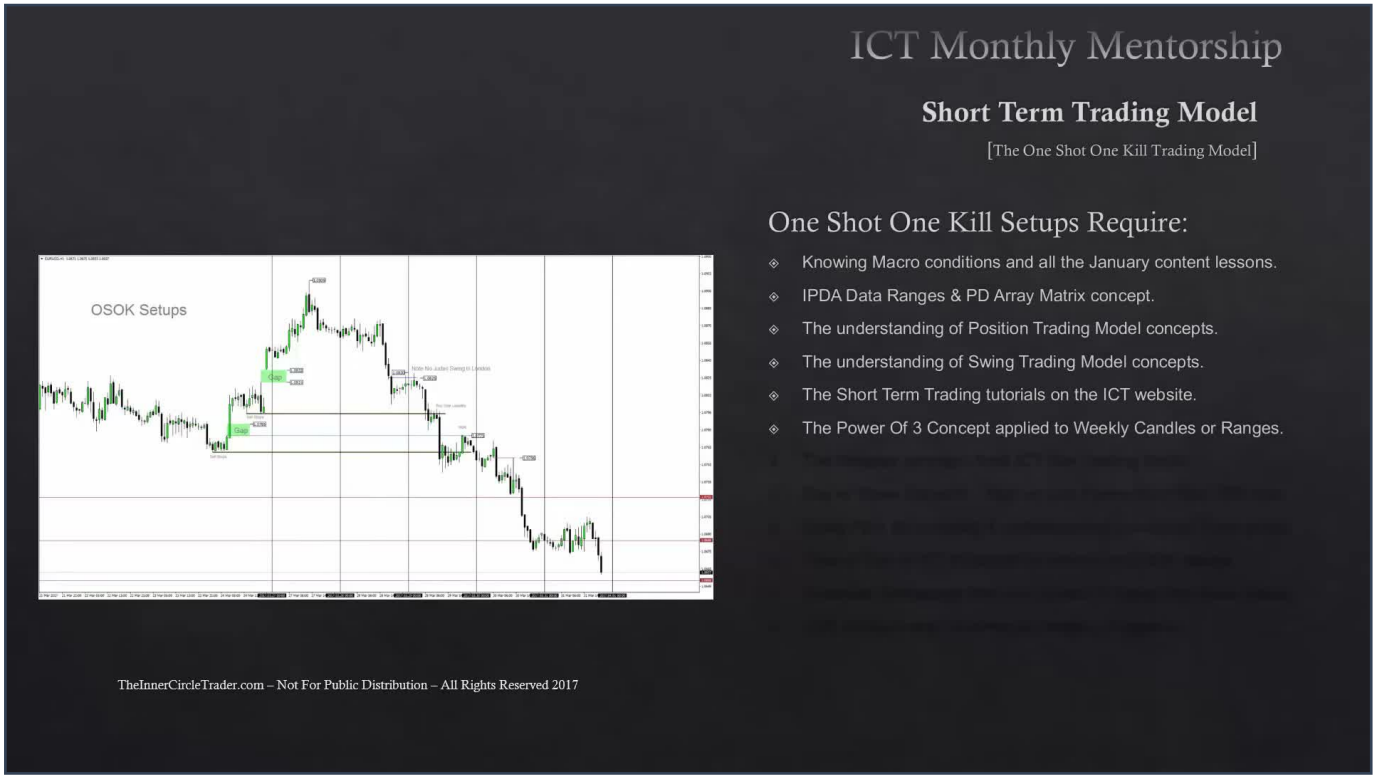
- Understanding of IFTA data ranges, looking back 20, 40, and 60 trading days.

- Application of PD Array Matrix Concepts to both time and price.

- Understanding of position trading logical concepts.

- Understanding of the swing trading module concepts.

- Familiarity with short-term trading tutorials on the ICT website.



Further advanced concepts required for One Shot One Kill setups include:

- The Power of 3 concept applied to weekly candles or ranges.

- Intraday concepts from ICT day trading modules.

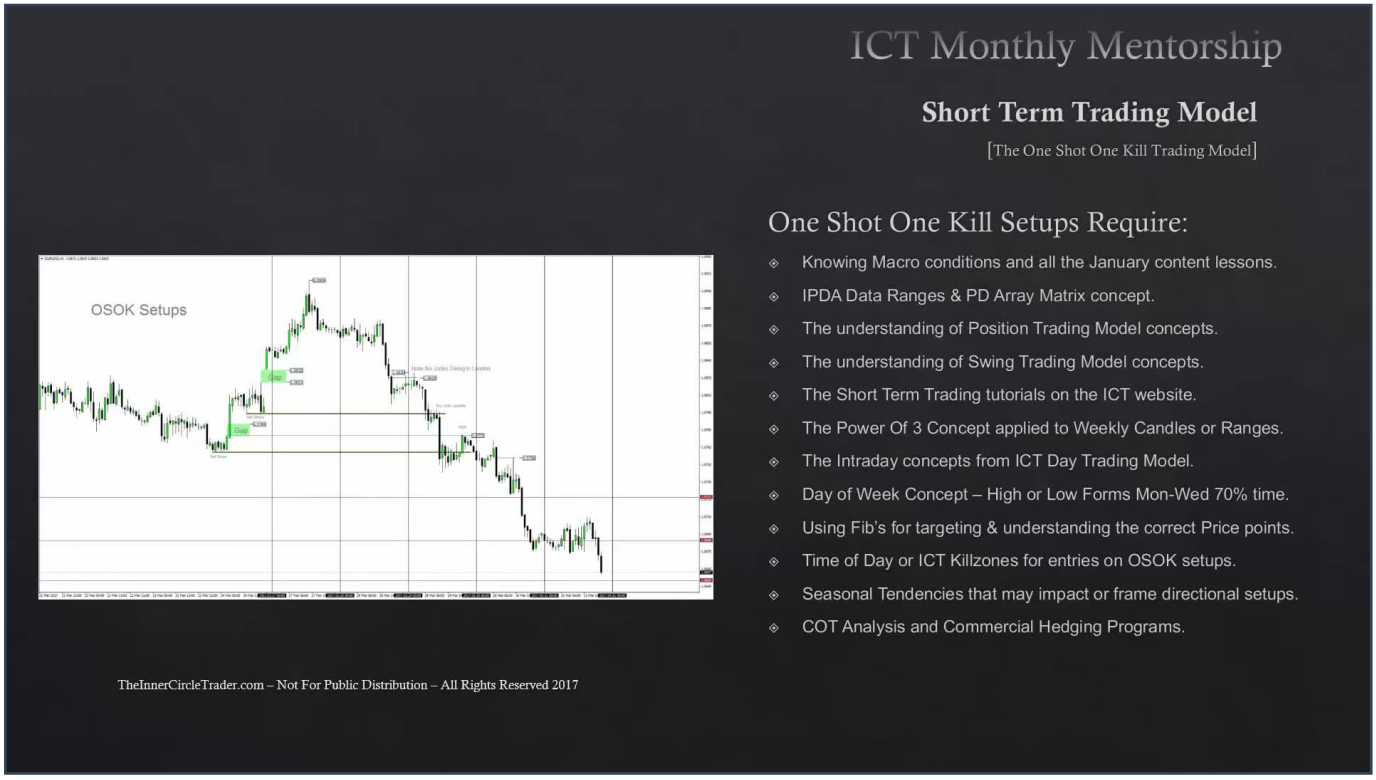
- Day of week concept: looking for the high or low to form on Monday through Wednesday with 76 odds.

- Using Fibs for targeting and understanding correct price points.

- Time of day or ICT Kill Zones for entries.

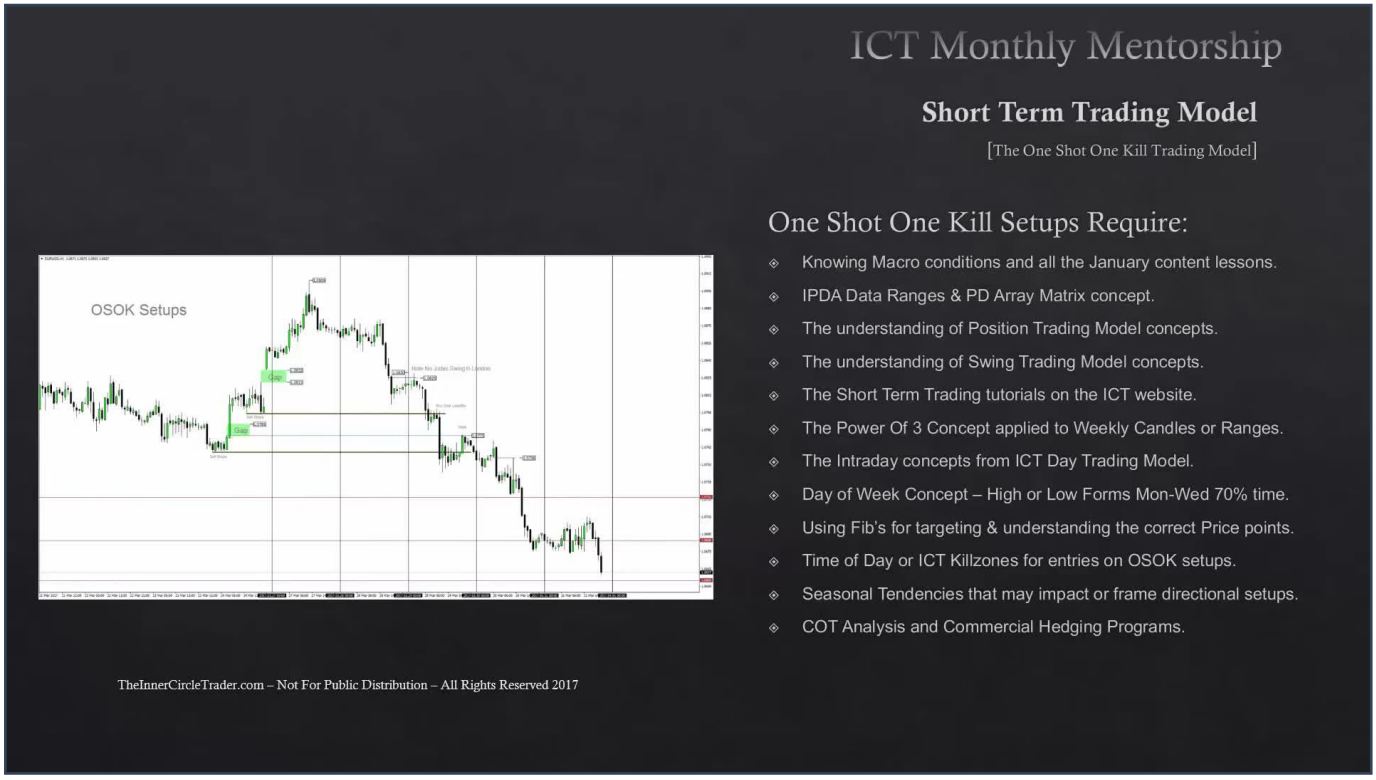
- Knowledge of seasonal change that may impact or frame directional setups.

- Understanding of COT (Commitment of Traders) analysis and Commercial hedging programs.



The mentorship aims to fill the gaps purposely left in all free tutorials. It is a prerequisite to know those free tutorials. This module provides quick fill-ins, helping understand how One Shot One Kill is executed.

The remaining gaps for this month are filled with intraday concepts for day trading, which helps achieve more precise, tight, small-risk, high-yield setups like those seen with the Euro Dollar.



The COT analysis and Commercial hedging programs involve understanding the commitment of Traders report. Larry Williams did good work on this in the 70s, but ICT believes he has taken it to another level.

ICT's method with COT data is unique. Later in the commodity section, it will be taught how to construct the commercial hedgers program and look for high probability setups using this information. A Euro Dollar example will demonstrate its effectiveness.

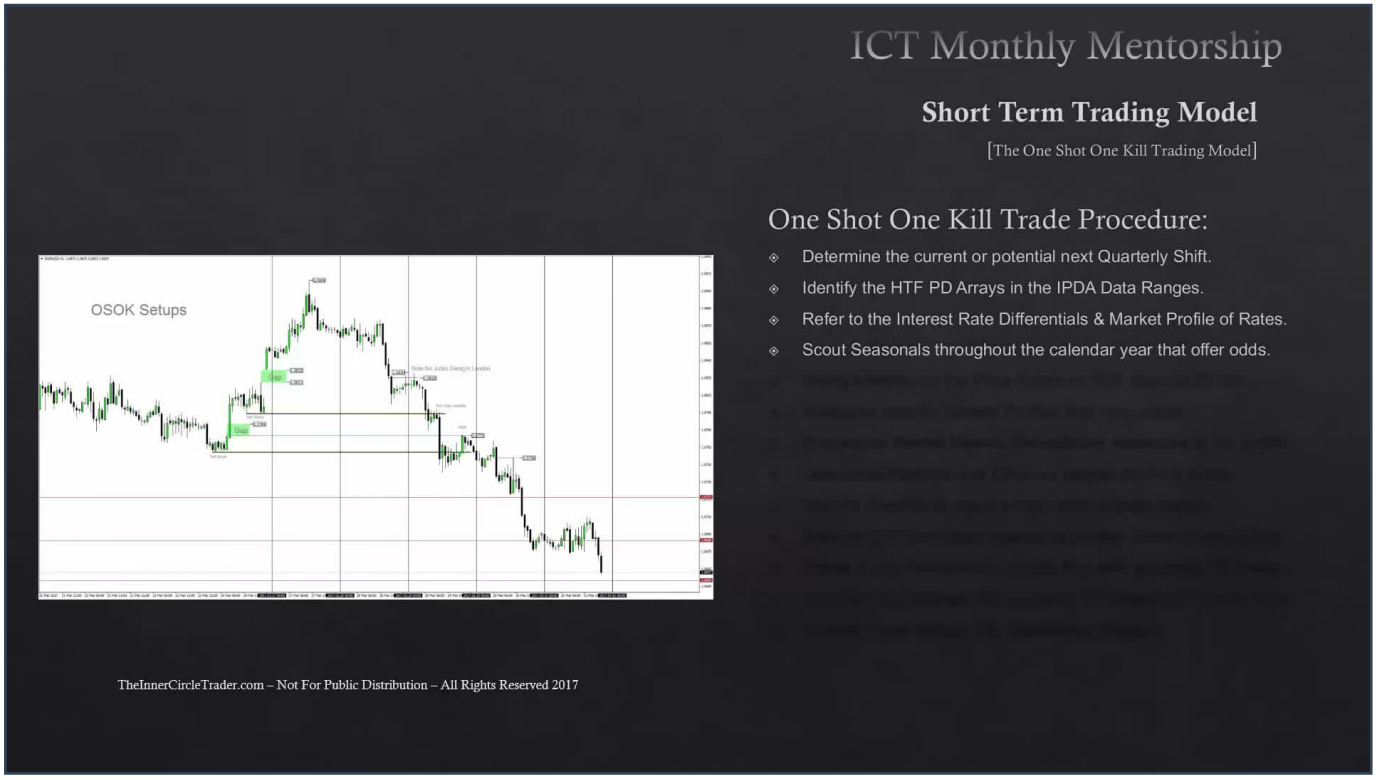
The One Shot One Kill trade procedure is a concise idea. A majority of the procedural steps should already be known due to the vast amount of information covered in the modular learning approach. This mentorship fills in the procedural gaps, ensuring all ICT concepts and their application are understood.

The first steps in analyzing the market (using Euro Dollar as an example) are:

- Determine the current or potential next quarterly shift (January content).

- Identify the higher time frame PD arrays in the IFTA data ranges (January content).

- Refer to interest rate differentials and market profile of the rates. If these markets (interest rates, treasuries, Bund) are trending, movement in the Euro Dollar is permitted. If consolidated, movement will be difficult.



Continued analysis involves:

- Scouting seasonals throughout the calendar year that offer high odds of a move (higher or lower).

- Using swing analysis on price action from higher time frames down to the 60-minute chart. This involves classifying price swings, looking at fractals, and breaking down impulse and expansion swings for projections, measurements, and retracements.

- Anticipating specific weekly profiles (e.g., Monday high of the week, Tuesday high of the week, Wednesday reversal) based on analysis for desired price direction.

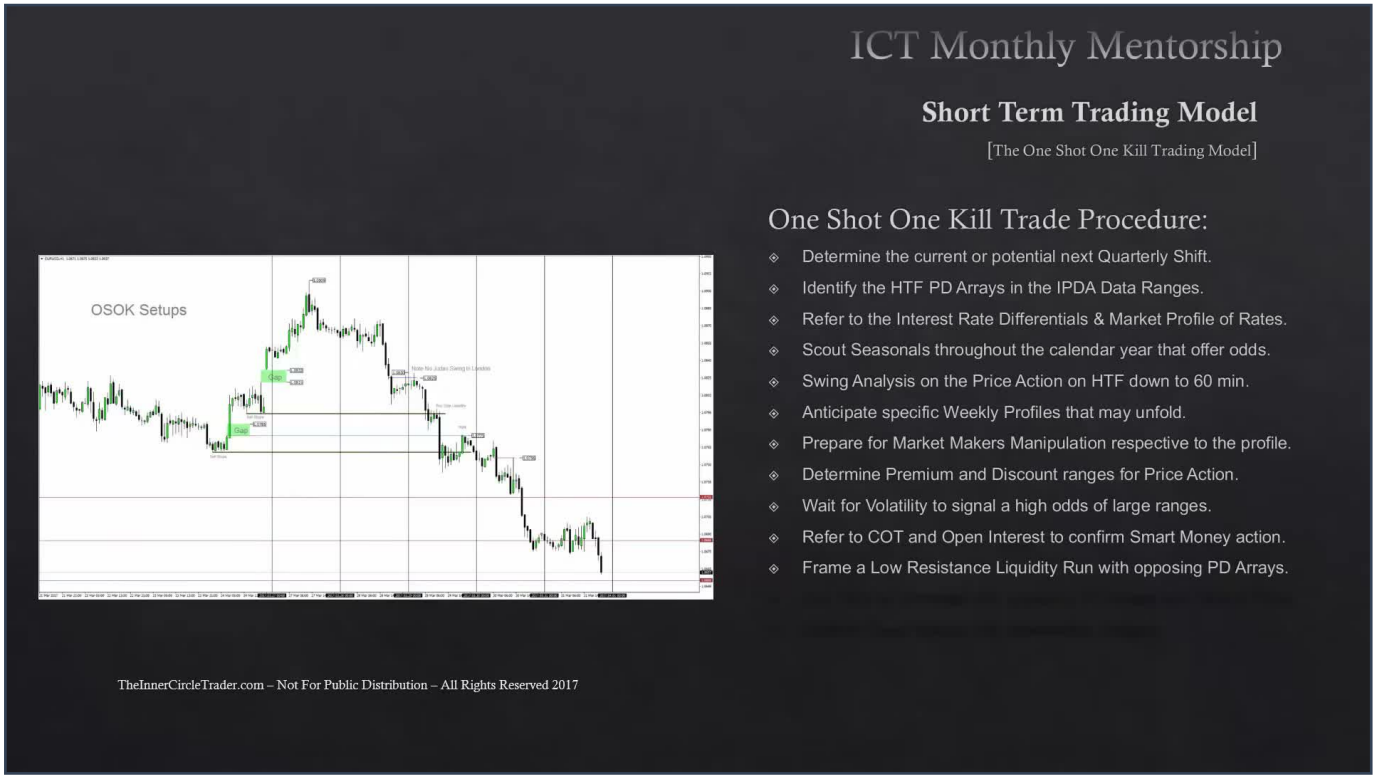
- Identifying Market Maker Manipulation templates corresponding to the expected weekly profile characteristics.

Further steps involve:

- Determining where the premium and discount ranges are in price action.

- Waiting for volatility to signal a high odds of a large range being created, indicating when range expansion should ensue. Entry is preferred during quiet periods to benefit from subsequent expansion.

- Referring to COT (Commitment of Traders) for commercials versus large traders and open interest to confirm smart money action.



To frame the trade:

- Look to frame a low resistance liquidity run with opposing PD arrays. For a bearish setup, look to sell short at a premium PD array and pair it up with a discount PD array.

- Use Fibs converging with opposing PD arrays and blending it with time and price. This means finding a Fibonacci level that overlaps with a logical discount PD array.

- Confirm trade setups with inter-market analysis.

EURO DOLLAR ONE SHOT ONE KILL SETUP EXAMPLE (MARCH 2017)

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A One Shot One Kill setup for the Euro Dollar was provided in the last week of March 2017.

- Expected high: around 1.0908 (actual high 1.0909 on Forex Ltd's platform).

- Projected low: 1.0650 (reached 1.0655 on Forex Ltd, some platforms hit 1.06497). This could roll into Monday. A 1.0695 low objective was also given earlier in the week.

This example demonstrates how these concepts led to precise predictions. The subsequent detailed breakdown will explain the framing of this move.

STEP 1: SEASONAL TENDENCY FOR EURO DOLLAR

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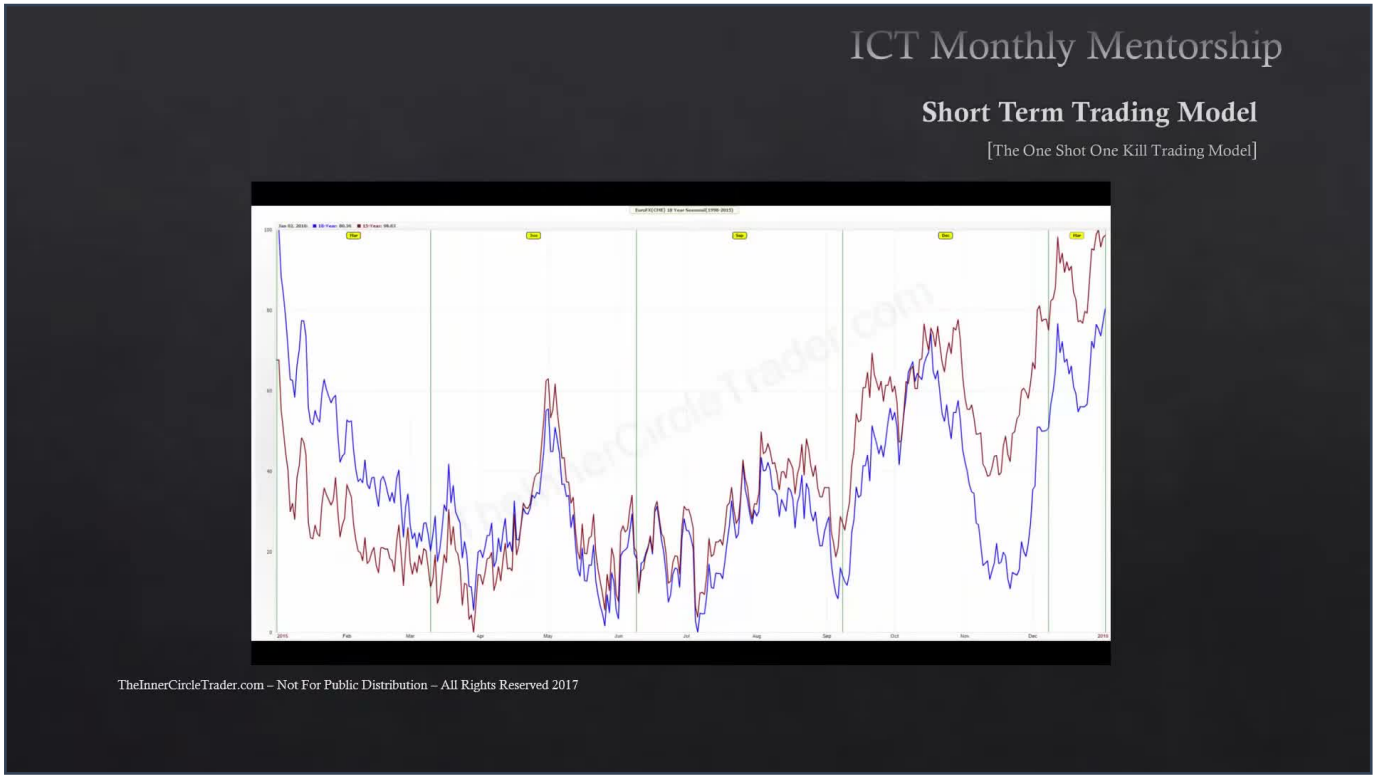

The first step is to analyze the seasonal tendency. Just as sports teams have schedules, markets have a built-in generic schedule tracked by seasonal tendencies.

- Identify times when long-term (blue line) and short-term (red line) seasonal tendencies agree on a directional bias.

- For March, the Euro Dollar seasonal tendency initially shows a rally into mid-March, followed by a decline to the last week of March, extending into the first week of April.

- This indicates a strong seasonal tendency for bearish prices in the Euro Dollar.

STEP 2: ICT'S COMMERCIAL HEDGING PROGRAM (COT)

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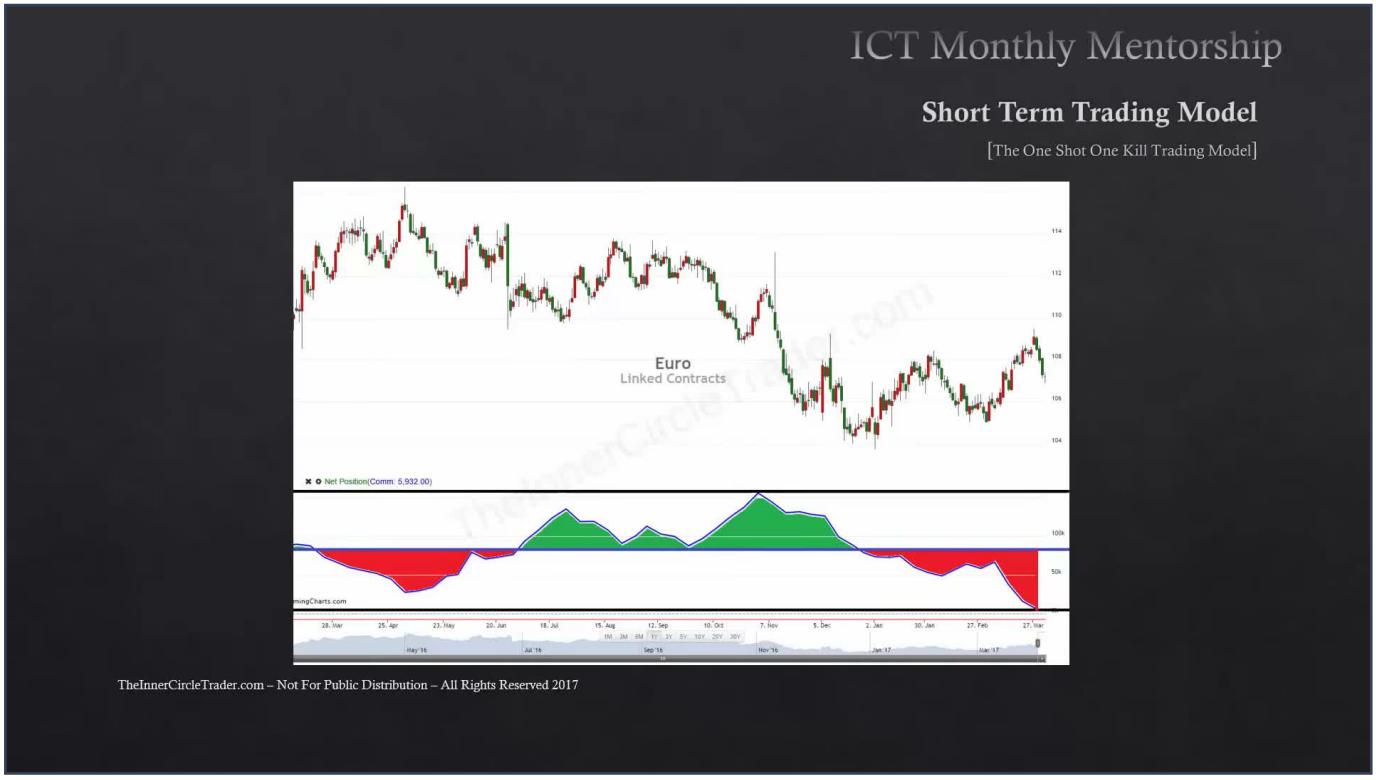


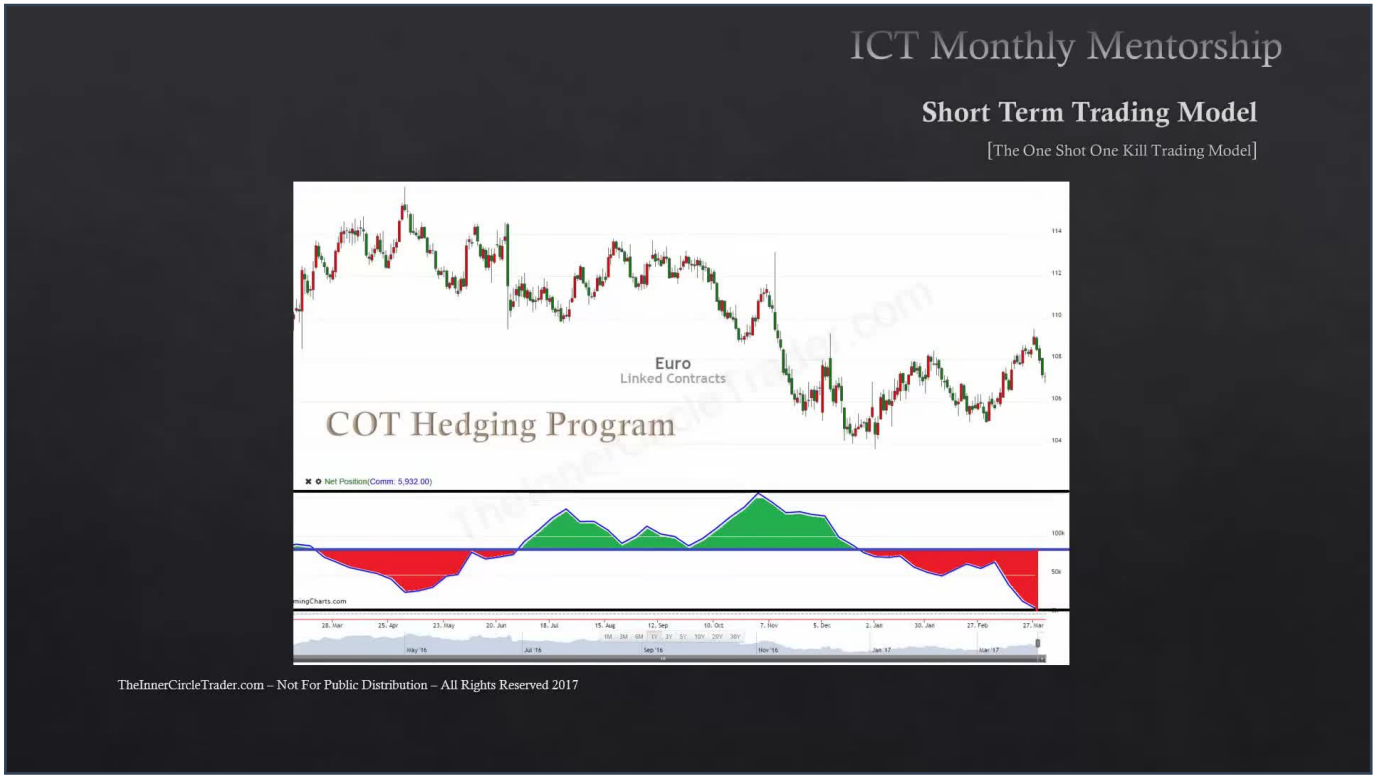
ICT's unique Commitment of Traders (COT) hedging program analyzes commercial activity:

- It involves creating a 'zero-sum line' by looking at the highest high and lowest low of commercial net positions over the last year. Only commercials are tracked.

- Commercial traders (banks, institutions, manufacturers) report their net positions (net long or net short) weekly to the CFTC.

- This specific graph helps visualize commercial hedging behavior. When the line is below the zero line (red), it's bearish; above (blue), it's bullish.

- At the time of this example, the Euro Dollar was making a higher high, but commercials were aggressively net short, selling into the rally, which typically caps the market. This unique interpretation differs from traditional COT analysis.



Combining the seasonal tendency with commercial hedging provides a strong directional bias:

- Seasonal tendency for lower Euro prices in the second half of March into April.

- Commercials heavily net selling into the Euro Dollar rally, indicating smart money shorting and supporting lower prices.

- It's crucial that seasonal tendencies are supported by technical alignment and market environment. A seasonal tendency alone does not guarantee an outcome; it only illustrates a probable condition.

To justify the bearish Euro Dollar idea, the Dollar Index market conditions are framed from a macro standpoint, focusing on the next quarterly shift:

- On the weekly chart, the Dollar Index traded down into an old weekly high, which acts as a discount PD array.

- On the daily time frame, another key level was an old mitigation block at 98.92 (typically rounded to 98.90 or 98.95).

- On the hourly chart, the Dollar Index was expected to rally from this discount level towards premium PD arrays (bearish order blocks, fair value gaps, mitigation blocks, breakers, old highs) that act as resistance.

DOLLAR INDEX: EQUILIBRIUM AND PD ARRAY MATRIX APPLICATION

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Applying the PD Array Matrix to the Dollar Index hourly chart:

- Identify the equilibrium price point. Prices above are premium, below are discount.

- This graphic representation helps think like an algorithmic trader, understanding how IFTA will draw price to these logical levels.

- The market was drawn back to equilibrium. It then determines if it will move into a premium or deeper into a discount. This is combined with IFTA data ranges (20, 40, 60 days) and the PD array matrix with all relevant PD arrays noted.

INTER-MARKET ANALYSIS: EURO POUND CONFIRMATION

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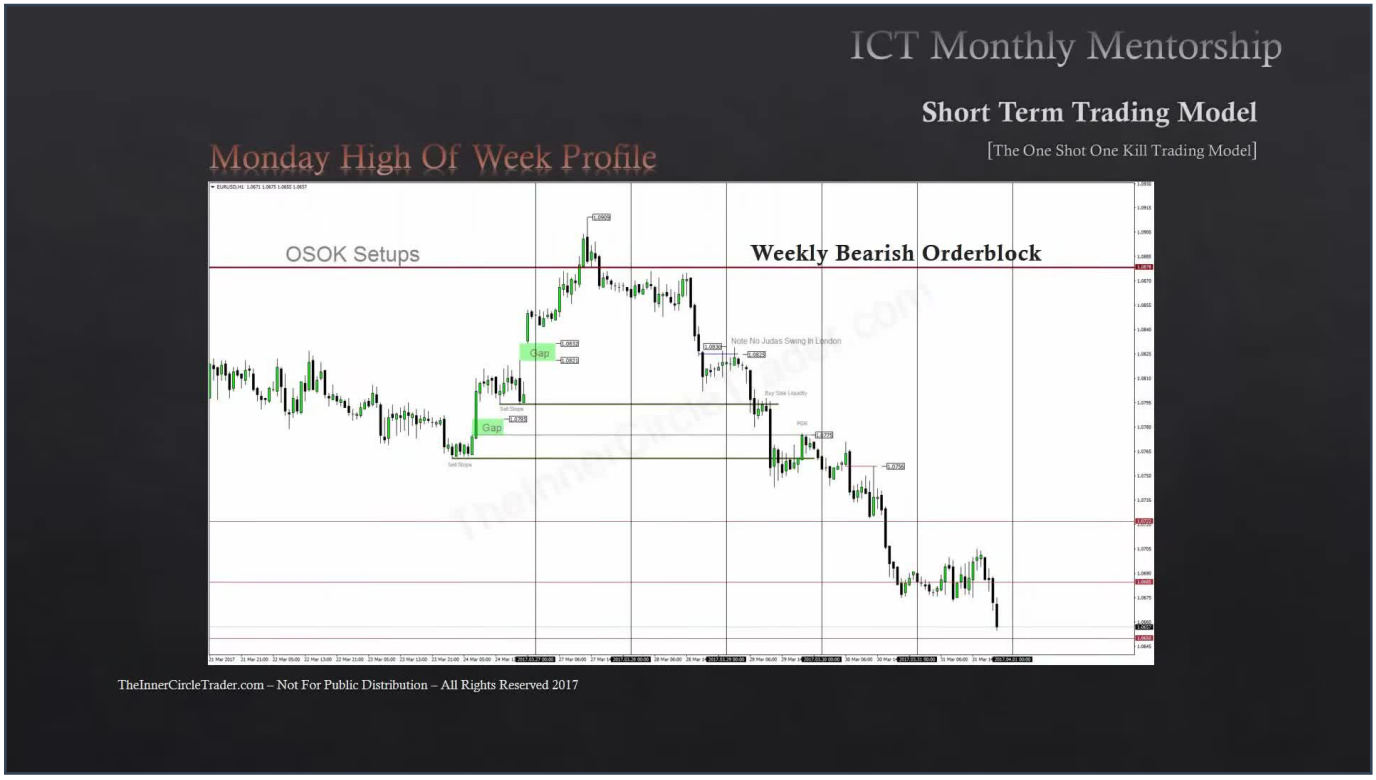
Inter-market analysis of the Euro Pound confirms the Euro Dollar bias:

- The Dollar Index was poised to go higher, trading off a weekly discount PD array with premium PD arrays above, suggesting a draw on price higher.

- For weak Euro Dollar prices, the Euro Pound should also show weakness. The Euro Pound aggressively sold off, tanking down to a clear bullish order block (discount PD array) on a four-hour basis at Friday's close.

- This Euro Pound weakness supports a weak Euro Dollar and a strong Pound Dollar.



Observing the Euro Dollar's weekly behavior:

- On Monday, the market opened with a gap (Sunday) and traded higher throughout the day.

- Price traded up into a weekly bearish order block for the Euro Dollar, which was a key missing level in previous discussions.

- Based on the bearish expectation (bullish Dollar Index, bearish seasonal tendency, commercial selling), Monday, Tuesday, or Wednesday was expected to be the high of the week. Therefore, Monday was the initial assumption.

CONFIRMING THE WEEKLY HIGH (JUDAS SWING)

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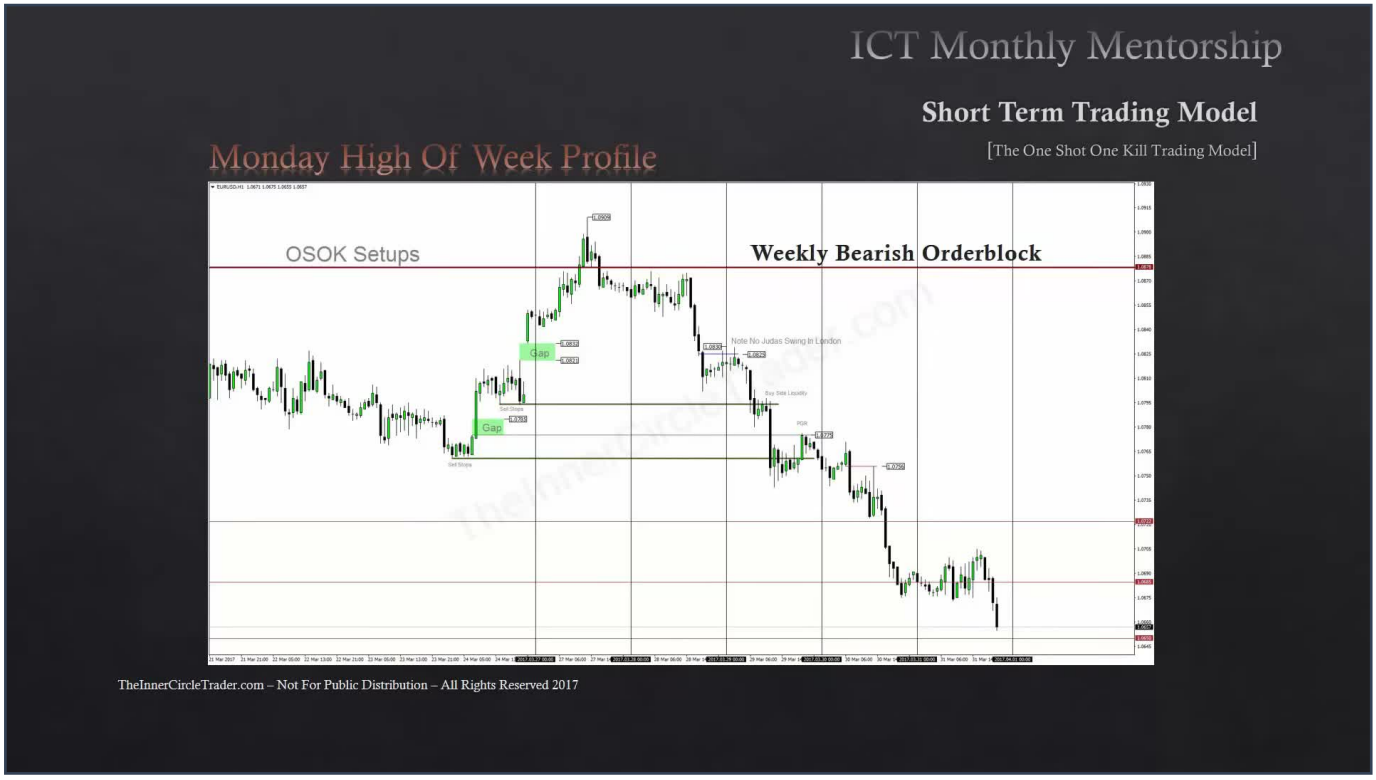

To confirm the weekly high:

- Assume Monday is the high of the week. While not attempting to perfectly time it initially, over time, precision can be developed.

- A small portion can be sold on Monday. If Tuesday fails to make a higher high, there's a small position. If it goes higher on Tuesday/Wednesday, a full position is avoided underwater.

- On Monday, price traded up, had an intraday retracement in London, followed by an expansion through New York.

- A Fibonacci swing measurement from the London high to the retracement low, prior to the New York rally, projected the 1.0909 level (called at 1.0908, one pip below).

- This initial rally on Monday was a false rally, or 'Judas swing', where heavy selling engineered price higher to build a premium for smart money to sell to less informed participants.

EURO DOLLAR: FOUR-HOUR CHART AND LIQUIDITY VOID TARGET

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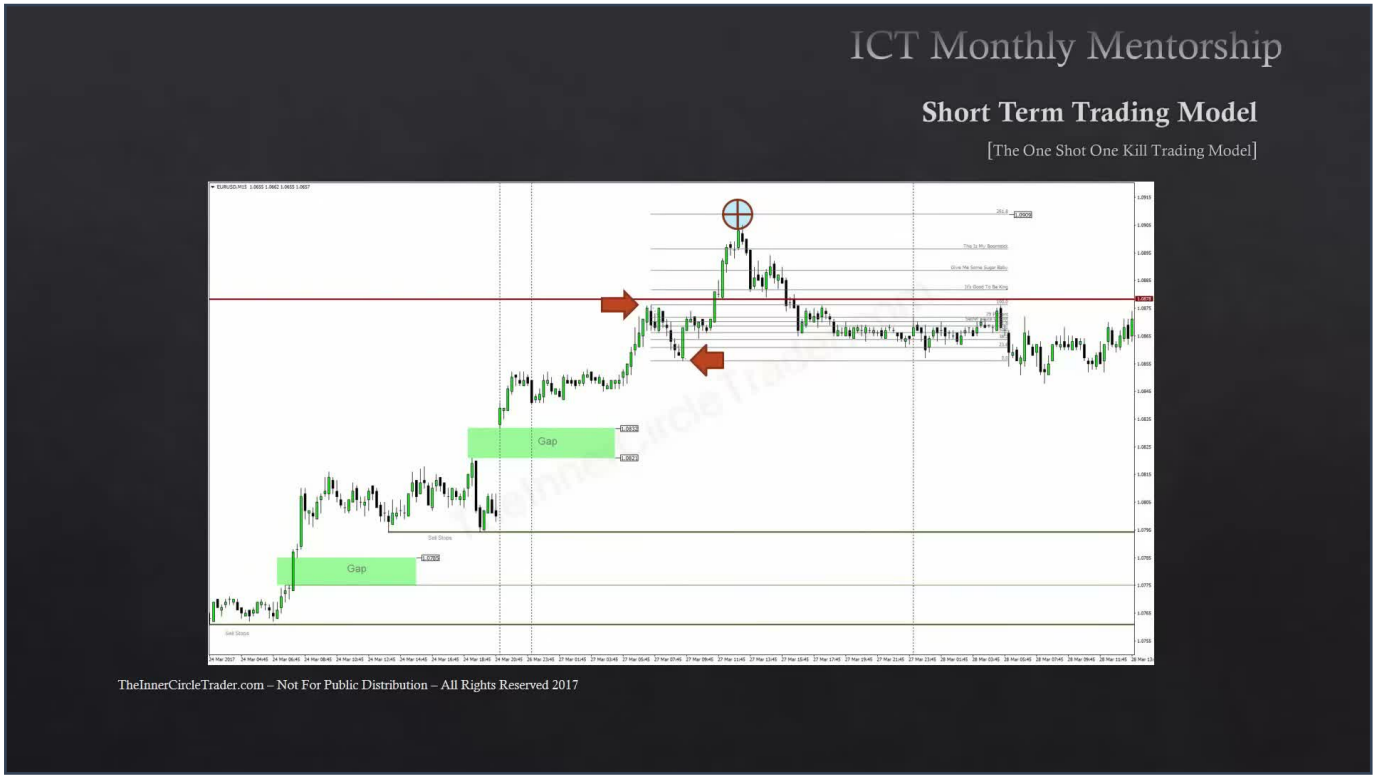

Analyzing the Euro Dollar on the four-hour chart:

- Identify the PD array in the discount zone and the liquidity void at the 1.0650 level.

- Using 1.0650 as the baseline and the projected high of 1.0908, a weekly range is established.

- Dividing this range in half provides an equilibrium price point, defining premium and discount PD array zones.

- The liquidity void in the lower end of the discount range becomes the primary target.

- As the market traded lower from the 1.0908 premium, various PD arrays, gaps, liquidity pools, old highs (to sell into), and bearish order blocks acted as contributing factors, leading to the targeted 1.0650 level.

CONCLUSION: BLENDING CONCEPTS FOR MARKET ANALYSIS AND PRECISION

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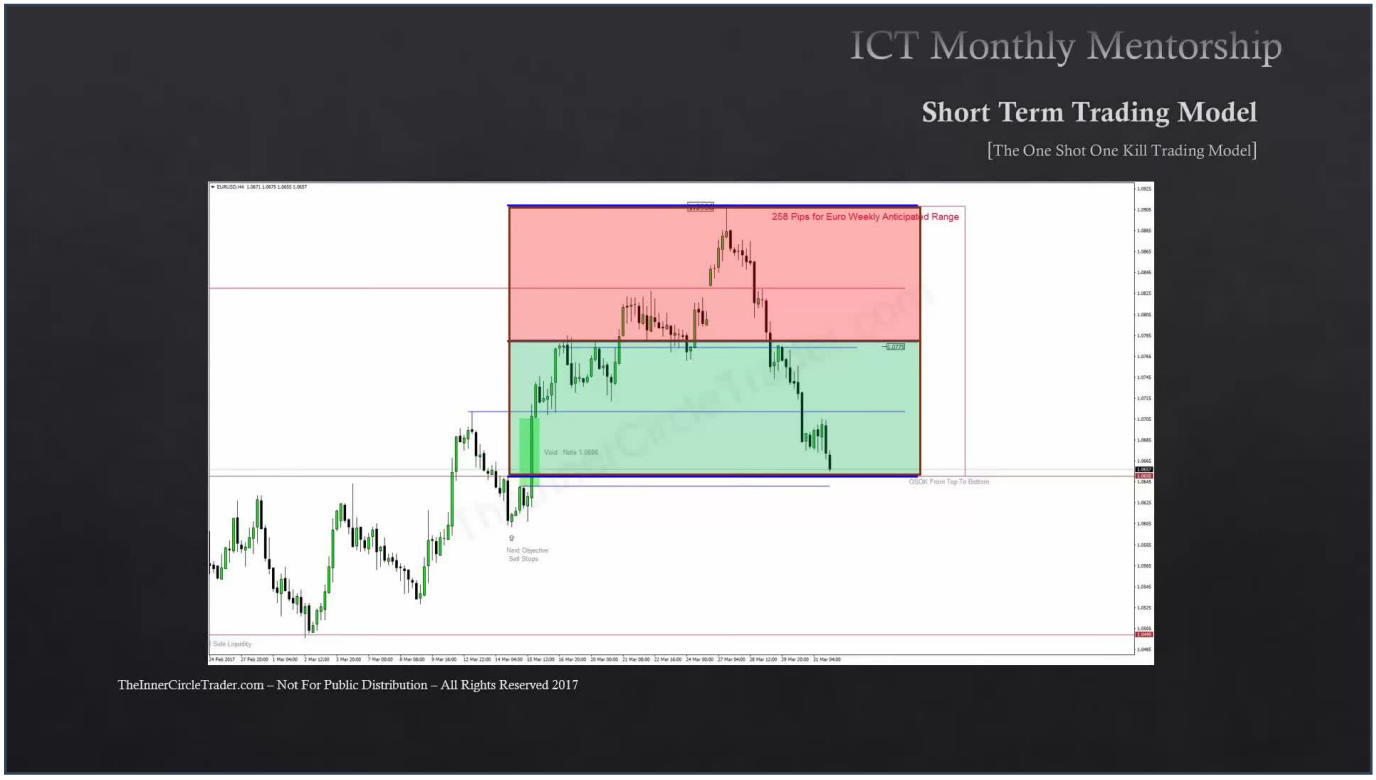

The described methodology blends various ICT concepts to achieve high-precision market analysis:

- This approach requires practice and dealing with decision points where the market might not be black and white initially (e.g., assuming Monday high vs. Tuesday making a new high).

- It involves sticking to a weekly conviction until it no longer makes sense, understanding that weekly reversals are possible.

- Through hindsight study of 10-20 years of data, one can build mental experience with these outcomes.

- The goal is to blend information and come up with the nearest thing to perfection in market analysis, exemplified by being one pip off the weekly high and five pips off the weekly low (or hitting it on most platforms).

- The mentorship, including reviewing all lessons (January, September-December, free tutorials), provides a procedural top-down approach (position, swing, short-term, day trading, scalping) to arrive at specific decision points, leading to low-risk, tight-precision entries. This comprehensive learning makes all elements of ICT's One Shot One Kill trading available.